

1.

'George Osborne talks about boosting exports and rebalancing the economy, but the Chancellor is not nearly as worried about the trade deficit as he is about the budget deficit.'

Explain the factors which are likely to cause a large budget deficit.

[15 marks]

2.

After a period of inflation below the target rate, the Consumer Price Index (CPI) inflation rate was recorded as -0.1% in early 2015. The Governor of the Bank of England wrote: 'A temporary period of falling prices, driven by large adjustments in a few specific components of the CPI, is a fundamentally distinct phenomenon from 'deflation'...The UK is not experiencing 'deflation'.'

Evaluate the possible consequences for the performance of the UK economy of the actual rate of inflation being below the Monetary Policy Committee's (MPC's) target rate.

[25 marks]

3.

Government policy

Extract E: Rising rates?

The Bank of England warned that interest rates might rise as early as next year as its chief economist said the desire to keep borrowing costs low for several years could be damaged by stronger than expected growth. Spencer Dale, one of the nine members of the interest rate-setting Monetary Policy Committee, said the UK may soon be growing at an annual rate of between 3 and 4% and the Bank could not be certain when it might need to tighten policy. 1 5

Following guidance issued by the Bank in August, the City is expecting interest rates to remain on hold at their record low of 0.5% until at least 2015. But Dale said that in certain circumstances an increase could happen as soon as 2014. "The big message is that monetary policy is going to remain loose for a considerable period of time. I can't be sure whether that means it will be tightened in 2015 or 2016." 10

The Bank said in August that, unless there was a risk from inflation or an over-heating property market, it would only start thinking about raising interest rates when unemployment had come down to 7% from 7.7% currently, something it did not expect until 2016. But the recovery in the economy, seen since the spring, has left many in the City convinced that the Bank will be forced to take action before then. 15

Dale said he welcomed the fact that the housing market was recovering, and saw no immediate threat of a house price bubble. It was 'great' for the construction sector that more houses were being built, and the increase in mortgage approvals would boost demand for professional services and lead to greater labour mobility. "It is good for consumption, because there is quite strong evidence that when people move home they go out and change the carpets and buy new furniture." 20

Source: News reports, 2013

4.

Many people were surprised when UK unemployment fell during 2013. The government's policy of deficit reduction was expected to prevent significant falls in unemployment and some called for the government to reverse its policy of planned cuts in expenditure.

Explain why low unemployment is a key objective of economic policy for the UK and most other governments.

[15 marks]



5.

In May 2014, the European Central Bank (ECB) President, Mario Draghi, warned that there was a risk of deflation across economies in Europe.

Evaluate the view that the UK government should give higher priority to preventing deflation rather than controlling inflation.

[25 marks]

6.

The Balance of Payments Extract F (lines 21–22) states: ‘The UK’s large current account deficit cannot be ignored easily, and research shows that such deficits are reduced eventually through some combination of slower growth and currency depreciation’.

Using the data in the extracts and your knowledge of economics, evaluate the significance of a large and persistent deficit on the current account of the balance of payments for the UK economy.

[25 marks]

7.

Economic Growth and Development in Africa Extract C (lines 6–8) argues that: ‘Africa’s recent growth has been driven by the increasing production and export of commodities but it remains far below the continent’s potential for growth. Meaningful job creation is weak and is not tackling the high rates of poverty in many countries’.

Using the data in the extracts and your knowledge of economics, assess the view that sustained economic growth is likely to improve living standards in African countries.

[25 marks]

8.

The Balance of Payments Extract E (lines 8–10) states that: ‘The hope was that with sterling having lost about a quarter of its value since the financial crash five years previously, this depreciation would have boosted exports ...’

With the help of a diagram, explain how a boost to exports would help the recovery of the UK economy.

[9 marks]

9.

The Balance of Payments

Extract F: Warning on UK's current account deficit

The UK is one of only eight countries to see its current account deficit increase since 2008, and its deficit has increased the most. Should overseas investors be worried? The UK has lived with large current account deficits for decades. From the 1940s to the early 1970s, when the country was operating a fixed exchange rate system, the UK was forced to use contractionary policies to keep the balance of payments in check and had to devalue the pound sterling in 1949 and 1967. From the 1980s onward, with the exchange rate floating, persistent current account deficits stopped being a cause for concern.

In the boom years before the global financial crisis, the current account deficit remained large, exceeding 3% of GDP in 2006. With hindsight, this should have rung alarm bells that the economy had become seriously unbalanced, with foreign money flowing into the UK to fund unsustainable public and private sector consumption rather than investment. After the crash, it was widely assumed that the UK economy would recover through higher exports and higher business investment. Indeed, the government's 2010 budget forecasted a current account surplus of 0.9% in 2013, driven by a surge in exports. This forecast proved highly inaccurate as the current account deficit increased.

Although surveys show that business confidence is high, investment fell in the year to the end of September 2013, and the UK's export performance has been poor, despite the depreciation of sterling by approximately 25% in the immediate aftermath of the financial crisis. In contrast, other European economies have seen strong export growth.

The UK's large current account deficit cannot be ignored easily, and research shows that such deficits are reduced eventually through some combination of slower growth and currency depreciation.

Source: news reports, February 2014

10.

The Balance of Payments

Extract E: Re-balancing the UK economy

The UK government wants to re-balance the economy more towards investment, manufacturing and exports, and away from consumption and government spending. Manufacturing only accounts for around 11% of what is produced in Britain, while the service sector accounts for over three-quarters of UK GDP.

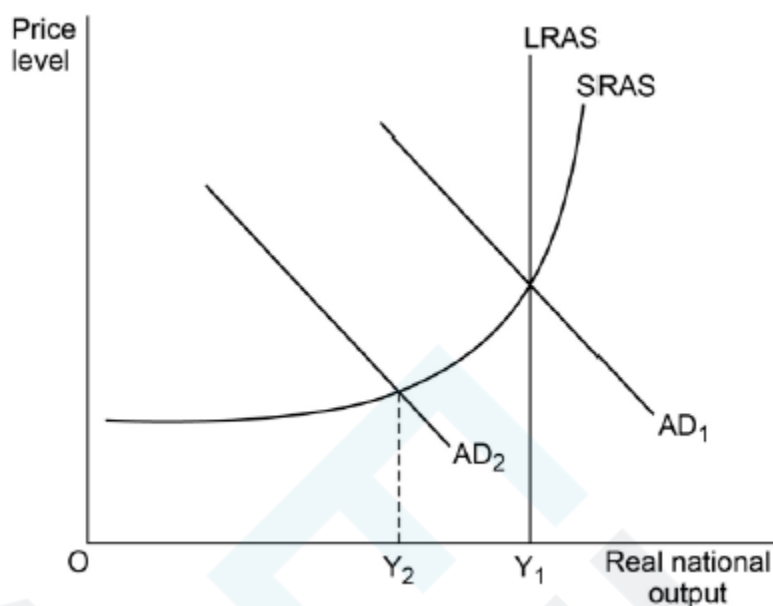
Britain, which until recently exported more to Ireland than to the combined BRIC economies (Brazil, Russia, India, and China), wants to export more to emerging economies and help its companies access the fastest-growing markets in the world.

In 2012, Britain's trade deficit hit its highest level since 2007. The hope was that with sterling having lost about a quarter of its value since the financial crash five years previously, this depreciation would have boosted exports in the same way that it did during the early 1990s, when the pound depreciated after a sterling crisis. The last time that Britain had a trade surplus was towards the end of that decade, in 1997.

Source: news reports, February 2014

11.

The diagram below shows aggregate demand (AD), short-run aggregate supply (SRAS) and long-run aggregate supply (LRAS) curves for the UK economy. Initial aggregate demand is AD_1 . The shift of the aggregate demand curve to AD_2 is the result of a decrease in bank lending following the 2008–2009 financial crisis.



The shift in the AD curve indicates that the effect of the financial crisis on the UK economy was to create a

- A negative output gap and structural unemployment. ☐
- B positive output gap and cyclical unemployment. ☐
- C positive output gap and structural unemployment. ☐
- D negative output gap and cyclical unemployment. ☐

[1 mark]

12. Economic growth and development in Africa

Extract C: Problems in Africa

Many African countries should continue to enjoy strong economic growth and attract investment, especially in oil, natural gas and minerals. In some areas this has been accompanied by a decline in labour unrest. As a result of this economic change, living standards in Africa should improve. However, some parts, noticeably north and central Africa, continue to suffer from political instability and civil war. 1
5

Africa's recent growth has been driven by the increasing production and export of commodities but it remains far below the continent's potential for growth. Meaningful job creation is weak and is not tackling the high rates of poverty in many countries. The informal sector is still large and opportunities remain limited for many seeking to enter the labour market. Continual pressure on labour markets from a steady stream of new entrants due to population growth has also meant that economic growth rates have not impacted strongly on poverty and inequality. 10

When governments squander valuable natural resources, geographic advantages do not always result in sound development, while land-locked African countries often struggle to trade with global economies. 15

Heavy dependence on minerals and agriculture has led to weak job creation in areas such as construction, transport and telecommunications. Political unrest continues to pose a significant threat to economic activity and a reliance on agriculture leaves many countries prone to weather-related shocks.

Source: news reports 2014

13. Which one of the following macroeconomic policies is a Keynesian economist most likely to recommend as a means of stimulating recovery for an economy that has been in recession for several years?

- A** Increasing taxes to finance increased government expenditure. ☐
- B** Increasing the money supply to maintain very low interest rates. ☐
- C** Increasing government expenditure financed by increased government borrowing. ☐
- D** Cutting government expenditure to balance its budget. ☐

[1 mark]

14. In 2013 Ethiopia had a relatively high real GDP growth rate of 7% but only 42% of its population had access to improved water sources and life expectancy was only 63 years.

Discuss the view that free trade is more effective than aid in promoting economic development in developing countries such as Ethiopia.

[25 marks]



15.

In 2013 Ethiopia had a relatively high real GDP growth rate of 7% but only 42% of its population had access to improved water sources and life expectancy was only 63 years.

Using examples to illustrate your answer, explain the difference between economic growth and economic development.

[15 marks]

16.

In 2013, two key aims of the UK Government were: to move the budget deficit towards a surplus over the course of the Parliament and to ensure that the main burden of deficit reduction would be through reduced government spending, rather than increased taxation.

Evaluate the view that the UK Government's policy of deficit reduction through lower government spending is unnecessary and undesirable.

[25 marks]

17.

In 2013, two key aims of the UK Government were: to move the budget deficit towards a surplus over the course of the Parliament and to ensure that the main burden of deficit reduction would be through reduced government spending, rather than increased taxation.

Explain the possible demand-side consequences of an increase in taxation in the UK.

[15 marks]

18.

In recent years, growth rates in the UK have been low and unemployment has risen. For example, in 2012 output was still below its peak of 2008 and unemployment had risen from 6.4% from 7.8%.

Explain why economic growth is a key objective of UK Government economic policy.

[15 marks]

19.

Government policy Extract F (lines 14–17) states 'Investment forecasts are being revised downward and on top of speculation of interest rate rises and criticism of the UK's quantitative easing programme, the outlook is not looking as good as forecasts first indicated.'

Using the data in the extracts and your economic knowledge, evaluate the effectiveness of monetary policy in achieving macroeconomic stability in the UK.

[25 marks]

20.

Government policy Extract E (lines 4–6) states 'the UK may soon be growing at an annual rate of between 3 and 4% and the Bank could not be certain when it might need to tighten policy.'

With the help of a diagram, explain why interest rates may need to rise if growth rates increase.

[9 marks]

21.

Explain how the data in **Government policy Extract D** show that the IMF has become less confident about growth rates.

[4 marks]

22.

Government policy

Extract F: Austerity remains

The Chancellor, George Osborne, has ruled out the possibility that the UK's improving economy will lead to immediate tax cuts or spending increases when he said reducing the budget deficit would be the priority of his Autumn Statement. The Chancellor said that the UK was still borrowing too much and that any increase in tax revenues generated from faster growth would be used to reduce the budget deficit and the national debt. 1

The move comes as no surprise, with the Chancellor stating, "I would just remind everyone that I still sit down at the table at the G20 with one of the highest budget deficits. The UK still continues to have some very serious public finance challenges that need to be addressed." 5

This week, the IMF revised up its forecasts for UK growth in both 2013 and 2014, six months after its chief economist, Olivier Blanchard, warned Osborne that he might cause more damage with his austerity plan. However, Osborne responded, "We have a clear plan and we are sticking to that plan." 10

The Chancellor's announcement may not be good for UK firms. It is common for business investment to lead the way when emerging from recession, but not this time. Investment forecasts are being revised downward and, on top of speculation of interest rate rises and criticism of the UK's quantitative easing programme, the outlook is not as good as forecasts first indicated. 15

In explaining its forecast downgrades for net investment over the last three years, the Office for Budget Responsibility (OBR) cites two main factors. Firstly, problems in credit markets have made it difficult for firms to borrow to invest. This may have particularly affected small and medium-sized firms that tend to be more reliant on bank financing. This will only be made worse if interest rates rise. Secondly, the uncertainty generated by the eurozone crisis and other events has stifled investment. 20

Source: News reports, 2013

23.

If UK GDP in 2012 was \$2375 billion, use the data in **Government policy Extract D** to calculate, to the nearest \$billion, the difference in forecast UK GDP between the IMF's initial and revised growth forecasts.

[2 marks]

24. Government policy

Extract D: IMF actual and forecast growth rates for selected economies (% per annum)

	Actual	Actual	IMF forecasts for 2013	
	2011	2012	Initial forecast	Revised forecast
China	9.3	7.7	7.8	7.6
France	2.0	0.0	-0.1	0.2
Germany	3.4	0.9	0.3	0.5
UK	1.1	0.2	0.9	1.4
USA	1.8	2.8	1.7	1.6
World	3.9	3.2	3.2	2.9

Source: IMF, 8 October 2013

- 25.** After a period of inflation below the target rate, the Consumer Price Index (CPI) inflation rate was recorded as -0.1% in early 2015. The Governor of the Bank of England wrote: 'A temporary period of falling prices, driven by large adjustments in a few specific components of the CPI, is a fundamentally distinct phenomenon from 'deflation'...The UK is not experiencing 'deflation'.'

Explain the possible causes of deflation in an economy.

[15 marks]

- 26.** Explain the term 'upturn in the economic cycle' (**Extract E**, line 1) **and**, with the help of a diagram, analyse why this may have caused Spain's unemployment rate to fall.

[9 marks]

- 27.** **Extract F** (lines 4 – 6) states: 'some are now arguing that further improvements in the unemployment statistics can only be gained through improvements in the supply-side of the economy, rather than relying on demand.'

To what extent do you agree that a further reduction in the UK's unemployment rate is most likely to be achieved by improvements in the supply-side rather than the demand-side of the economy? Use the data and your own knowledge of economics, to justify your answer.

[25 marks]

- 28.** Explain the phrase 'devaluation of the exchange rate' (**Extract B**, line 12) **and**, with the help of a diagram, analyse how a devaluation of the Chinese currency (the yuan) may affect economic growth in the UK.

[9 marks]

- 29.** Using the data in **Extract D**, calculate (to the nearest whole number) the real GDP per capita in Spain for 2014.

[2 marks]

30.

It is now nearly a decade since the financial crisis caused a recession in the UK. In March 2009, the Monetary Policy Committee (MPC) set the UK Bank Rate at 0.5%, which was a record low, in order to stimulate economic growth.

Discuss the importance of low interest rates in bringing about sustained economic growth in an economy such as the UK.

[25 marks]